

Amendment No. 1 to HB1754

Howell
Signature of Sponsor

AMEND Senate Bill No. 1808

House Bill No. 1754*

by deleting all language after the enacting clause and substituting instead:

SECTION 1. Tennessee Code Annotated, Title 69, Chapter 9, is amended by adding the following as a new part:

69-9-601. Short title.

This part is known and may be cited as the "Tennessee Certificate of Title for Vessels Act."

69-9-602. Part definitions.

As used in this part:

- (1) "Barge" means a watercraft that is not self-propelled or fitted for propulsion by sail, paddle, oar, or similar device;
- (2) "Builder's certificate" means a certificate of the facts of build of a vessel described in 46 CFR 67.99;
- (3) "Cancel," with respect to a certificate of title, means to make the certificate ineffective;
- (4) "Certificate of origin":
 - (A) Means a record created by a manufacturer or importer as the manufacturer's or importer's proof of identity of a vessel;
 - (B) Includes a manufacturer's certificate or statement of origin and an importer's certificate or statement of origin; and
 - (C) Does not include a builder's certificate;

(5) "Certificate of title" means a record, created by the agency that is designated as a certificate of title by the agency and is evidence of ownership of a vessel;

(6) "Creditor," with respect to a vessel, means:

(A) A creditor that has acquired a lien on the vessel by attachment, levy, or the like;

(B) An assignee for the benefit of creditors from the time of assignment;

(C) A trustee in bankruptcy from the date of the filing of the petition; or

(D) A receiver in equity from the time of appointment;

(7) "Dealer" means a person in the business of selling vessels, who:

(A) Is registered with the department of revenue for sales and use tax purposes pursuant to title 67, chapter 6;

(B) Has a business license from the applicable local governmental entity;

(C) Has an established place of business specifically for the sale, trade, or display of such vessels; and

(D) Sells or exchanges more than five (5) vessels a year;

(8) "Documented vessel":

(A) Means a vessel covered by a certificate of documentation issued pursuant to 46 U.S.C. § 12105; and

(B) Does not include a foreign-documented vessel;

(9) "Electronic" means relating to technology having electrical, digital, magnetic, wireless, optical, electromagnetic, or similar capabilities;

(10) "Established place of business" means a definite place of business with telephone service and a sign posted in a conspicuous place on the premises

at or near the outside entrance to the business identifying that the business offers vessels for sale;

(11) "Foreign-documented vessel" means a vessel the ownership of which is recorded in a registry maintained by a country other than the United States which identifies each person that has an ownership interest in a vessel and includes a unique alphanumeric designation for the vessel;

(12) "Hull damaged" means compromised with respect to the integrity of a vessel's hull by a collision, allision, lightning strike, fire, explosion, running aground, or similar occurrence, or the sinking of a vessel in a manner that creates a significant risk to the integrity of the vessel's hull;

(13) "Hull identification number" means the alphanumeric designation assigned to a vessel pursuant to 33 CFR Part 181;

(14) "Moor" means the act of making fast or securing a vessel with lines or anchors;

(15) "Operate" means to navigate, be in physical control of, or otherwise use a vessel;

(16) "Owner" means a person that has legal title to a vessel;

(17) "Owner of record" means the owner indicated in the files of the agency or, if the files indicate more than one (1) owner, the owner first indicated;

(18) "Purchase" means to take by sale, lease, mortgage, pledge, consensual lien, security interest, gift, or any other voluntary transaction that creates an interest in a vessel;

(19) "Purchaser" means a person that takes by purchase;

(20) "Record" means information that is inscribed on a tangible medium or that is stored in an electronic or other medium and is retrievable in perceivable form;

(21) "Secured party", with respect to a vessel, means a person in whose favor a security interest is created or provided for under a security agreement, whether or not any obligation to be secured is outstanding;

(22) "Secured party of record" means the secured party whose name is indicated as the name of the secured party in the files of the agency or, if the files indicate more than one (1) secured party, the secured party first indicated;

(23) "Security interest" means an interest in a vessel that secures payment or performance of an obligation if the interest is created by contract;

(24) "Sign" means, with present intent to authenticate or adopt a record, to:

(A) Make or adopt a tangible symbol; or

(B) Attach to or logically associate with the record an electronic symbol, sound, or process;

(25) "Title brand" means a designation of previous damage, use, or condition that must be indicated on a certificate of title;

(26) "Transfer of ownership" means a voluntary or involuntary conveyance of an interest in a vessel; and

(27) "Vessel":

(A) Means every description of watercraft used or capable of being used as a means of transportation on water that is subject to registration for use on the waters of Tennessee, including personal watercraft, as defined in § 69-9-501; and

(B) Does not include:

(i) Seaplanes on the water;

(ii) Canoes;

(iii) Kayaks;

- (iv) Nonmotorized vessels, other than canoes and kayaks, less than fourteen feet (14') in length;
- (v) Barges;
- (vi) Vessels owned by the United States, this state, or a political subdivision thereof, unless the vessels are required to be registered under § 69-9-206; and
- (vii) Any other vessel that is not required to be registered under § 69-9-206.

69-9-603. Vessels subject to titling.

(a) Beginning July 1, 2027, each owner of a vessel principally used upon the waters of this state shall make application for a certificate of title for the vessel to the agency pursuant to this part.

(b) Application for title to a vessel that has been issued a registration prior to July 1, 2027, must be made no later than the registration's first renewal on or after July 1, 2027.

(c) By July 1, 2030, all vessels issued a registration as of July 1, 2027, must be titled pursuant to this part.

(d) Prior to the owner submitting an application for certificate of title to the agency, the owner shall provide a bill of sale to any county clerk and pay to the county clerk applicable sales or use tax on the sales price of the vessel and the fee required by § 69-9-626. If the bill of sale is handwritten, then the owner shall provide a sworn affidavit under penalty of perjury. The county clerk shall collect the fee and tax and provide the owner with evidence of payment of tax paid and an application for certificate of title. Notwithstanding this subsection (d), if the owner has previously paid the applicable sales and use tax to a county clerk or through a dealer, then the county clerk shall provide the owner an application for certificate of title upon the owner providing evidence of payment of the tax.

(e) This part does not apply to a documented vessel or a foreign-documented vessel.

69-9-604. Applications – Contents – Issuance.

(a) The application for title must be upon the appropriate form prescribed or furnished by the agency and accompanied by a fee established in this part and evidence of tax paid. Each application for a certificate of title must contain the following information:

(1) The name of the owner, the street address of the owner's principal residence, and the owner's mailing address, if different than the street address;

(2) A description of the vessel, including:

(A) The manufacturer's name, make, model, year, color, vessel length, hull material, propulsion type, the engine drive type, if any, and the fuel type, if any;

(B) The Tennessee registration number, or if none, an application for a registration number;

(C) The manufacturer's hull identification number or, if the vessel was manufactured or imported prior to 1972, an application for the issuance of a hull identification number for the vessel;

(D) Any title brand and, if known, the state under whose law the title brand was issued; and

(E) If the applicant knows that the vessel is hull damaged, a statement that the vessel is hull damaged;

(3) If the vessel previously was registered or titled in another jurisdiction, a statement identifying each jurisdiction known to the applicant in which the vessel was registered or titled;

(4) An email address of the owner, transferor, or secured party, if available;

(5) The date of purchase by the applicant, the name and address of the person from whom the vessel was acquired, and the names and addresses of persons having a security interest in the vessel in the order of their priority; and

(6) Evidence that sales or use tax at the rate specified in title 67, chapter 6, part 2, and § 67-6-501 has been paid on the sales price of the vessel, unless the applicant shows proof that the vessel is exempt from applicable sales or use tax.

(b) The application must bear the signature of the owner written with pen and ink or captured electronically using a method approved by the agency; provided, however, that in the case of a dealer only, in lieu of the signature, the application may be accompanied by a valid power of attorney executed by the owner on a form prescribed by the agency granting the dealer authority to sign the application on behalf of the owner.

(c) If sales or use tax has been collected by, or evidence of payment of the tax has been provided to, the county clerk pursuant to § 69-9-603(d), then the owner or dealer, as applicable, shall forward the application for certificate of title to the agency, together with the fee required by § 69-9-625. All applications, certificates, reports, and other forms, documents, or information required by this part to be forwarded to the agency may be delivered in the manner as determined by the agency.

(d) The director of the agency may require that an application or other document delivered to the agency pursuant to this part, including a fee that accompanies the document, be submitted electronically in a manner approved by the director. If an electronic filing requirement imposed pursuant to the authority granted in this subsection (d) creates a hardship upon an individual subject to the requirement, then the individual must be permitted to file the applicable document in paper form.

(e) The agency shall, upon receipt of an application for a certificate of title and evidence of tax paid, and after determining by an examination of its records that the applicant is entitled to a certificate of title, issue the certificate.

69-9-605. Contents of certificate.

(a) Each certificate of title issued by the agency must contain:

- (1) The date issued;
- (2) The name of the owner of record and, if not all owners are listed, an indication that there are additional owners indicated in the files of the agency;
- (3) The street address of the physical residence of the owner of record, and that owner's mailing address, if different than the street address;
- (4) The names and addresses of any secured parties in the order of priority as shown on the application, unless the application is based on a certificate of title, then as shown on the certificate, and if not all secured parties are listed, an indication that there are other security interests indicated in the files of the agency;
- (5) The title number assigned to the vessel;
- (6) The information listed in § 69-9-604(a)(2)(A), the Tennessee registration number, and the manufacturer's hull identification number;
- (7) Spaces for assignment of title by the owner or by the dealer and for warranting that the signer is the owner and that there are no security interests on the vessel except as are noted on the certificate of title. Spaces must also be provided on the certificate for application for title by a new owner subject to the security interests of any secured parties as are named and for the assignment or release of the security interest of a secured party;
- (8) Whether the vessel has been abandoned, reconstructed, salvaged, or deemed a total loss by an insurer, and whether the vessel is hull damaged;

(9) All title brands indicated in the files of the agency covering the vessel, including brands indicated on a certificate created by a governmental agency of another jurisdiction and delivered to the agency. For each title brand indicated on a certificate of title, the certificate must identify the jurisdiction under whose law the title brand was created or the jurisdiction that created the certificate on which the title brand was indicated. If the meaning of a title brand is not easily ascertainable or cannot be accommodated on the certificate, the certificate may state: "Previously branded in (insert the jurisdiction under whose law the title brand was created or whose certificate of title previously indicated the title brand)";

(10) An abbreviation designating all states that the agency has knowledge of where a vessel has been previously titled. The abbreviation must be the standard two-letter abbreviation used in addresses by the United States postal service; and

(11) If the files of the agency indicate that a vessel previously was registered or titled in a foreign country, language on the certificate of title that the vessel was registered or titled in that country.

(b) Joint ownership of a vessel by two (2) or more persons must be indicated on the certificate of title by the use of the word "and" or, if specified by the owners, the word "or" to indicate tenancy in common or survivorship rights.

(c) A certificate of title issued by the agency:

(1) Is prima facie evidence of the facts appearing on it; and

(2) Must be a different color scheme than the color scheme of a certificate of title or other ownership document issued by the department of revenue for vehicles pursuant to title 55, chapter 3.

69-9-606. Title brand.

(a) Unless subsection (c) applies, at or before the time the owner of record transfers an ownership interest in a hull-damaged vessel that is covered by a certificate of title created by the agency, if the damage occurred while that person was an owner of the vessel and the person has notice of the damage at the time of the transfer, the owner must:

(1) Deliver to the agency an application for a new certificate that complies with § 69-9-604 and includes the title brand designation "Hull Damaged"; or

(2) Indicate on the certificate in the place designated for that purpose that the vessel is hull damaged and deliver the certificate to the transferee.

(b) After delivery to the agency of the application under subdivision (a)(1) or the certificate of title under subdivision (a)(2), the agency shall issue a new certificate that indicates that the vessel is branded "Hull Damaged".

(c) Before an insurer transfers an ownership interest in a hull-damaged vessel that is covered by a certificate of title created by the agency, the insurer shall deliver to the agency an application for a new certificate that complies with § 69-9-604 and includes the title brand designation "Hull Damaged". After delivery of the application to the agency, the agency shall issue a new certificate that indicates that the vessel is branded "Hull Damaged".

(d) An owner of record that fails to comply with subsection (a), a person that solicits or colludes in a failure by an owner of record to comply with subsection (a), or an insurer that fails to comply with subsection (c) commits a Class A misdemeanor, punishable only by a fine of one thousand dollars (\$1,000).

69-9-607. Delivery of certificate – Security interests – Electronic lien and title system.

(a) The certificate of title must be delivered to the owner of record in the event no security interest appears on the certificate. Otherwise, the certificate of title must be

delivered to the secured party of record upon the vessel as shown in the certificate and must be retained by the secured party of record until the security interest is discharged, at which time a notation must be made on the certificate of title, setting forth the fact that the security interest has been discharged, which must be signed by the secured party of record. If the certificate of title shows on its face one (1) or more security interests still outstanding, then the secured party of record must deliver the certificate of title to the secured party that is next in order of priority. If there are no more security interests still outstanding, then the secured party of record must deliver the certificate of title to the owner within seven (7) business days from the discharge of the security interest. On the date the security interest is discharged, the secured party of record shall send notice of the discharge to the agency. If the agency is not notified within seventy-two (72) hours from the date of discharge, then the secured party of record is subject to the penalty described in § 69-9-622.

(b) If a security interest that is subordinate to another outstanding security interest is discharged or released, then the holder of the subordinate security interest must immediately procure the certificate of title from the secured party in whose possession it is being held for the sole purpose of discharging the security interest as provided by subsection (a), and must return the certificate of title to the person from whom it was obtained, notifying the agency of the discharge of the security interest, or, in the alternative, the subordinate secured party may immediately forward to the agency a release setting forth the fact that the security interest has been discharged, which must be signed by the secured party, and the agency shall note the release of security interest upon the certificate of title when the certificate of title is next in the physical possession of the agency.

(c) The agency may procure and implement an electronic lien and title system to be used throughout the state. As used in this subsection (c), "electronic lien and title

system" means a program that allows the exchange of lien and title information with secured parties and is used to create, save, alter, and transfer titles to property.

69-9-608. Non-dealer transfers.

(a) On or after July 1, 2027, a person shall not sell or otherwise transfer ownership a vessel without delivering to the purchaser or transferee a certificate of title with the assignment as is necessary to show title in the purchaser or transferee.

(b) On or after July 1, 2027, a person shall not purchase or otherwise acquire a vessel without applying for a certificate of title in the person's name within fifteen (15) days of the receipt of the vessel.

(c) The owner, at the time of delivery of the vessel, shall execute the assignment and warranty of title to the transferee in the space provided on the certificate of title.

(d) The transferee or purchaser, whether by operation of law or otherwise, shall obtain a new certificate of title by application to the agency accompanied by the required fee and upon the form or forms prescribed and furnished by the agency.

66-9-609. Dealer transfers.

(a) If the transferee of a vessel is a dealer who holds the same for resale, then the transferee is not required to obtain a new registration for the vessel or to obtain a new certificate of title. The dealer, upon transferring title or interest to another person, shall execute an assignment and warranty of title upon the certificate of title, if in the dealer's possession, or if in the possession of a secured party, the dealer shall execute a bill of sale and deliver the same to the person to whom the transfer is made, together with evidence of ownership. The application for title and registration must be signed by the owner, and the dealer shall, within thirty (30) business days, mail or deliver the application to the agency. The owner may execute a power of attorney to a dealer for the application for title and registration. Dealers shall maintain records of such transactions for not less than three (3) years from the date of such transactions. Records of transactions must be available for inspection by the agency.

(b) If a dealer buys or acquires a used vessel for the purpose of resale, and the vessel has been issued a certificate of title, which is to be surrendered to the dealer by the owner or the secured party at the time of delivery of the vessel, then the dealer is not required to send the certificate to the agency at that time. Upon the dealer transferring the vessel to another person other than by creation of a security interest, the transferee shall, within fifteen (15) business days, execute the assignment and warranty of title by the dealer, showing the names and addresses of the transferee and of a secured party and the date of the secured party's security agreement, in the spaces provided on the certificate or as the agency prescribes, and mail or deliver the certificate to the agency with the transferee's application for a new certificate of title.

69-9-610. Titling out-of-state vessels.

If an application for certificate of title is made to the agency for a vessel last previously registered in another state or a country other than the United States, then the application must contain or be accompanied by:

(1) A certificate of title issued by the other state or country other than the United States;

(2) Any other information or documents the agency reasonably requires to establish the ownership of the vessel and the existence or non-existence of security interests in it; or

(3) If the state or country other than the United States in which the vessel was last previously registered does not issue certificates of title, a proper bill of sale, certificate of origin, or sworn statement of ownership, or any evidence of ownership as may be required by the law of the state or country other than the United States from which the vessel was brought, plus any other information or documents the agency reasonably requires to establish the ownership of the vessel and the existence or non-existence of security interests in it.

69-9-611. Recordkeeping.

(a) The agency shall maintain a record of all certificates of title issued by it:

(1) Under a distinctive title number assigned to a vessel;

(2) Under the identification number awarded to a vessel in accordance with the registration and numbering law of the state in which it is registered;

(3) Alphabetically, under the name of the owner of record; and

(4) In the discretion of the agency, in any other method it determines to be appropriate.

(b) Except as provided in § 10-7-504(a) and § 69-9-629, all records of the agency relating to the titling of vessels are public records open to public inspection during regular office hours.

69-9-612. New vessels – Certificates of origin.

(a) On or after July 1, 2027, a dealer shall not purchase or acquire a new vessel without obtaining from the seller a certificate of origin.

(b) On or after July 1, 2027, a manufacturer, importer, dealer, or other person shall not sell or otherwise transfer a new vessel to a dealer for purposes of display and resale, without delivering to the dealer a certificate of origin.

(c) On or after July 1, 2027, a private individual who manufactures vessels in this state for personal use or for another person, whether for sale or not, shall complete a builder's certificate.

(d) The certificate of origin must contain:

(1) A description of the vessel, including its trade name, if any, manufacturer's name, year, series or model, hull material, propulsion type, and manufacturer's hull identification number;

(2) Certification of the date of manufacture of the vessel;

(3) Certification of date of transfer of vessel and name and address of transferee;

(4) Certification that this was a transfer of vessel in ordinary trade and commerce;

(5) Signature and address of the transferor or a representative of the transferor; and

(6) On the manufacturer's or importer's certificate there must appear an assignment form, including the name and address of the transferee, a certification that the vessel is new, and a warranty that the title at the time of delivery is subject only to the security interests that are set forth in the assignment.

69-9-613. Termination of ownership – Involuntary transfers.

(a) If the ownership of a vessel is terminated in accordance with the terms of a security agreement by a secured party named in the certificate of title, then the secured party must promptly mail or deliver to the agency the last certificate of title, an application for a new title accompanied by the required fee, and an affidavit by the secured party or an authorized representative, setting forth the facts entitling the secured party to possession and ownership of the vessel, together with a copy of the journal entry, court order, or instrument upon which the claim of possession and ownership is founded. If the secured party cannot produce proof of ownership, then the secured party may submit to the agency such evidence available with the application, and the agency may, if it finds the evidence to be satisfactory proof of ownership, issue a new certificate of title.

(b) If a secured party succeeds to the interest of an owner in a vessel by operation of law and holds the vessel for resale, then the secured party is not required to secure a new certificate of title to the vessel; provided, that upon transfer to another person, the secured party shall, within fifteen (15) days, mail or deliver to the transferee or to the agency the certificate, affidavit, and any other documents the agency requires.

69-9-614. Effect of certificate of title.

(a) On or after July 1, 2027, a person receiving a vessel from another person does not acquire a right, title, claim, or interest in or to the vessel until the person has applied for a certificate of title to the vessel or receives a certificate of origin for the vessel.

(b) A court must not recognize the right, title, claim, or interest of a person in or to a vessel sold, transferred, or encumbered on or after July 1, 2027, unless evidenced by:

(1) A certificate of title or a certificate of origin; or

(2) Admission in the pleadings or by stipulation of the parties.

69-9-615. Security interests – Notation on certificate.

(a) All security interests noted upon a certificate of title take priority according to the order of time in which they are noted on the certificate. These security interests are valid against the creditors of the owner of a vessel, subsequent purchasers of the vessel, and holders of subsequent security interests upon the vessel.

(b) If a new security interest, other than a security interest dependent solely upon possession, or a security interest of the state for taxes established pursuant to title 67, chapter 1, part 14, is placed on a vessel subject to titling under this part in a transaction not involving a change of ownership, then the owner must deliver the certificate of title, if in the owner's possession, to the secured party, who must forward the certificate of title, together with the required fee for noting the security interest on the certificate of title, with proof of the security interest required by the agency directly to the agency. The agency, when satisfied of the secured party's right to have the security interest noted on the certificate of title, shall note the security interest on the certificate of title and return the certificate of title to the secured party.

(c) If the certificate of title is in the possession of a prior secured party, the new or subordinate secured party must forward to the agency the required fee for noting the security interest, together with proof of the security interest required by the agency, and

the agency, when satisfied of the right of the secured party to have the security interest noted on the certificate of title, must:

(1) Procure the certificate of title from the secured party in whose possession it is being held, for the sole purpose of noting the new security interest on the certificate of title;

(2) Return the certificate of title to the secured party from whom it was obtained; and

(3) Notify the new secured party of the fact that the security interest has been noted on the certificate of title.

69-9-616. Assignments of security interests – Notation on certificate.

(a) A secured party of a security interest, other than a security interest dependent solely upon possession, may assign title or interest in the vessel to a person other than the owner of record, without the consent and without affecting the interest of the owner of record. In this event, the person shall provide the owner of record written notice of the assignment, and deliver to the assignee an assignment of the security interest, which must be signed by the assignor. If the original certificate of title is in the assignor's possession, it must also be delivered to the assignee, who must forward the assignment, together with the certificate of title and proper fee for the notation of a security interest to the agency, who must note the new security interest on the certificate of title in place of the security interest shown in favor of the assignor and return the same to the assignee.

(b) If the original certificate of title is not in the possession of the assignor, then the assignee must forward the assignment, together with the fee for noting a security interest on the certificate of title, to the agency, which must procure the certificate of title from the person in whose possession it is being held for the sole purpose of noting the new security interest in place of the security interest in favor of the assignor. The agency shall return the certificate of title to the person from whom it was obtained and

notify the assignee of this security interest that the security interest has been noted on the certificate of title.

(c) The assignee of a security interest is entitled to the same priority among the outstanding secured parties and has all the other property rights as had formerly been held by the assignor.

(d) Notwithstanding this section to the contrary, in the case of a transaction, or series of related transactions, in which security interests are assigned on more than fifty (50) vessels, regardless of whether any of the vessels are owned by or registered to residents of this state or covered by certificates of title issued by this state, the assignor in the transaction or series of transactions may assign the security interest on the related vessel to a person other than the owner of record, without the consent and without affecting the interest of the owner of record. Such assignment must be made in the same manner as provided in § 55-3-124(c) for multiple vehicle lien assignments.

69-9-617. Perfection of security interests – Constructive notice – Savings clause.

(a) A security interest in a vessel of the type for which a certificate of title is required is perfected and valid against subsequent creditors of the owner, subsequent transferees, and the holders of security interests and liens on the vessel by compliance with this section.

(b)

(1) A security interest is perfected by delivery to the agency of the existing certificate of title, if any, title extension form, or certificate of origin and an application for a certificate of title containing the name and address of the holder of a security interest and the information listed in § 69-9-604 and the required fee.

(2) The security interest is perfected as of the date of delivery to the agency. By receiving the application, the transfer of title and any security interests noted on the certificate are deemed perfected, subject only to the action

of the agency in declining for good cause shown to issue the certificate to note the security interest on the certificate.

(3)

(A) Notwithstanding another law to the contrary, a second or other junior security interest in a vessel of the type for which a certificate of title is required is not perfected until the security interest is physically noted on the certificate of title for the vessel. In the case of a second or other junior security interest, there is no constructive notice of the second or other junior security interest unless that security interest is physically noted on the certificate of title.

(B) Subdivision (b)(3)(A) does not have any effect on perfection and constructive notice concerning security interests held by secured parties of record.

(c) If a security interest is perfected as provided for in this section, then it constitutes notice of all security interests against the vessel described in the security interest to creditors of the owner, to subsequent purchasers, and encumbrances, except security interests as may be authorized by law dependent upon possession. Constructive notice dates from the time of first delivery of the request for the notation of the security interest upon the certificate of title by the agency as shown by the endorsements of the date of delivery on the document.

(d) The method provided in this section of obtaining a security interest upon a vessel subject to titling under this part is exclusive except as to security interests depending upon possession and the lien of the state for taxes established pursuant to title 67, chapter 1, part 14.

(e) A secured party of record or the secured party of record's designee may file an application for a vessel temporary lien with the secretary of state in the same manner, and subject to the same fees, as motor vehicle temporary liens are filed pursuant to §

55-4-126(f), except, that the manufacturer's hull identification number for the vessel must be provided on the application. As part of the review or audit of the office of the secretary of state, the comptroller of the treasury shall include the implementation and impact of this subsection (e) and report findings and recommendations regarding this subsection (e) in the review or audit of the office of secretary of state.

(f)

(1) The rights, duties, and interests flowing from a transaction, certificate of title, or record relating to a vessel that was validly entered into or created before July 1, 2027, and would be subject to this part if it had been entered into or created on or after the effective date of this act, remain valid on and after July 1, 2027.

(2) This part does not affect an action or proceeding commenced before July 1, 2027.

(3) Except as otherwise provided in subdivision (f)(4), a security interest that is enforceable immediately before July 1, 2027, and would have priority over the rights of a person that becomes a creditor at that time is a perfected security interest under this part.

(4) A security interest perfected immediately before July 1, 2027, remains perfected until the earlier of:

(A) The time perfection would have ceased under the law under which the security interest was perfected; or

(B) July 1, 2030.

(5) This part does not affect the priority of a security interest in a vessel if immediately before July 1, 2027, the security interest is enforceable and perfected, and that priority is established.

69-9-618. Replacement certificate of title.

(a) If a certificate of title is lost, stolen, mutilated, destroyed, or becomes illegible, the secured party of record or, if there is not a secured party of record, then the owner of record or legal representative of the owner of record named in the certificate, as shown by the records of the agency, may obtain a replacement title by applying to the agency and furnishing the prescribed fee and information required by § 69-9-604 and the circumstances of its loss, theft, mutilation, destruction, or illegibility as required by the agency.

(b) Upon issuance of any replacement certificate of title, the previous certificate that was issued is deemed void.

(c) A replacement title must have the word "duplicate" clearly marked on its face.

69-9-619. Cancellation of certificate of title.

If a vessel with a certificate of title is scrapped, dismantled, destroyed, or is changed in such manner that it loses its character as a vessel, or is changed in such manner that it is not the vessel described in the certificate of title, then the named owner of record in the last certificate of title shall, within seventy-two (72) hours, cause the certificate to be mailed or delivered to the agency. The agency shall, with the consent of any secured parties noted on the certificate, cancel the certificate.

69-9-620. Stolen vessels.

(a) A law enforcement officer having knowledge of a stolen vessel shall immediately furnish the agency with information concerning the theft.

(b) The agency, whenever it receives a report of the theft of a vessel, shall make a distinctive record of the report, including the make of the stolen vessel and the manufacturer's hull identification number, and shall file the same in the numerical order of the manufacturer's hull identification number with the index records of the vessel's make. The agency shall prepare a report listing vessels stolen and recovered as disclosed by the reports submitted to it, to be distributed as it deems advisable.

(c) In the event of the recovery of a stolen vessel, the owner or recovering entity shall immediately notify the agency, which shall remove the record of the theft from its files.

69-9-621. Titling offenses.

It is a Class C misdemeanor for a person to knowingly:

(1) Operate or moor in this state a vessel for which a certificate of title is required, without having a certificate of title;

(2) Operate or moor in this state a vessel for which a certificate of title is required, and the certificate of title has been canceled;

(3) Sell, transfer, or otherwise dispose of a vessel without delivering to the purchaser or transferee a certificate of title, or a manufacturer's or importer's certificate, assigned to the purchaser or transferee as required by this part; or

(4) Fail to surrender to the agency a certificate of title upon cancellation of the same by the agency for a valid reason set forth in this part.

69-9-622. Secured party offenses.

(a) It is a Class C misdemeanor for a secured party to fail or neglect upon the discharge of the security interest to properly discharge the security interest in the manner provided for in § 69-9-607 and, if the certificate of title is in the secured party's possession, to fail to deliver the certificate to the person entitled to the certificate.

(b) It is a Class C misdemeanor for a secured party whose security interest has been discharged to fail to report the discharge to the agency within seventy-two (72) hours from the date of discharge.

69-9-623. Forgery or falsification of certificate – Other offenses.

(a) It is a Class B misdemeanor for a person to knowingly:

(1) Alter or falsify an assignment of a certificate of title that has been canceled; or

(2) Fail to surrender to the agency a certificate of title upon cancellation of the same by the agency for a valid reason set forth in this part.

(b) It is a Class A misdemeanor for a person to knowingly:

(1) Alter, forge, or counterfeit a certificate of title or certificate of origin to a vessel;

(2) Alter or falsify an assignment of a certificate of title, or an assignment or cancellation of a security interest in a certificate of title to a vessel;

(3) Hold or use a certificate of title to a vessel or to hold or use an assignment or cancellation of a security interest on a certificate of title to a vessel knowing it to have been altered, forged, counterfeited, or falsified;

(4) Use a false or fictitious name or address, or make a material false statement, or conceal a material fact, in an application for a certificate of title or in a bill of sale or sworn statement of ownership;

(5) Procure or attempt to procure a certificate of title to a vessel, or pass or attempt to pass a certificate of title or an assignment thereof to a vessel, knowing or having reason to believe that the vessel has been stolen;

(6) Take possession of, buy, receive, sell or offer for sale, transfer, or otherwise dispose of in this state a vessel on which the manufacturer's hull identification number has been destroyed, removed, covered, altered, or defaced, knowing of such destruction, removal, covering, alteration, or defacement of such manufacturer's hull identification number; or

(7) Destroy, remove, cover, alter, or deface the manufacturer's hull identification number on a vessel for the purpose of selling or otherwise disposing of the vessel.

69-9-624. Suspension or revocation of certificate of title.

(a) The agency may suspend or revoke a certificate of title to a vessel, upon reasonable notice and hearing, when authorized by law and if:

(1) The certificate of title was fraudulently procured or erroneously issued; or

(2) The vessel has been scrapped, dismantled, or destroyed.

(b) Suspension or revocation of a certificate of title does not, in itself, affect the validity of a security interest noted on it.

(c) If the agency suspends or revokes a certificate of title, then the owner or person in possession of it must, upon receiving notice of the suspension or revocation, mail or deliver the certificate to the agency.

(d) The agency may seize and impound a certificate of title that has been suspended and revoked pursuant to subsection (a).

69-9-625. Fees to agency pertaining to titling of vessels.

(a) The following fees are payable to the agency:

(1) For issuing a certificate of title to a vessel, the sum of twenty dollars (\$20.00) to be earmarked as follows:

(A) Six dollars (\$6.00) to be allocated to the local abandoned vessel prevention fund, established by § 69-9-703; and

(B) Fourteen dollars (\$14.00) to be allocated in accordance with § 69-9-203;

(2) For noting new security interests not originally entered on a title and for transferring security interests from one (1) secured party to the secured party's assignee upon a certificate of title when the transaction does not involve a change of ownership and where the certificate of title is submitted to the agency along with the application, the sum of eleven dollars (\$11.00);

(3) For noting on a certificate of title the extension of a chattel mortgage therein described and noted thereon, the sum of eleven dollars (\$11.00); and

(4) For issuing a duplicate certificate of title to replace a lost, stolen, mutilated, destroyed, or illegible certificate, the sum of five dollars and fifty cents (\$5.50).

(b) The fish and wildlife commission may, by rule, adjust the fees in this part in such amount as may be necessary to administer this part; provided, that the percentage increase for any such fee adjustment must not exceed the percentage increase in the consumer price index (CPI) for all urban consumers published by the United States department of labor, bureau of labor statistics, since the last change in such fees.

69-9-626. Fee to county clerks pertaining to titling of vessels.

The county clerks are entitled to a fee in the amount of five dollars (\$5.00) from an applicant for calculating and collecting sales or use tax for each application for a certificate of title; provided, that three dollars (\$3.00) of the fee must be earmarked for the provision of services related to the collecting of taxes for the titling of vessels. The proceeds from the fee received by the county clerk for the provision of the services must not revert to the county general fund at the end of a budget year if unexpended.

69-9-627. Refunds of fees.

(a) If an application is accompanied by a fee due to the agency under § 69-9-625, and the application is refused or rejected, then the fee must be returned to the applicant.

(b) If a fee not required to be paid under this part is collected through error, then the fee must be refunded to the person paying the fee upon application for refund made within six (6) months after the date of the payment.

(c) If the agency declines to issue a certificate of title to a purchaser of a vessel, then the applicant may, at any time within five (5) days from receipt of formal notice that the application for a certificate of title has been rejected, surrender the application for a certificate of title issued for the vessel to the agency and be entitled to an immediate

refund of the fee due to the agency under § 69-9-625 paid by the applicant for the titling of the vessel.

69-9-628. Allocation of vessel titling fee revenue.

(a) Except as provided in § 69-9-625(a)(1)-(2), all fees collected by the agency must be retained by the agency for the administration and implementation of this part and must not revert to the state general fund nor the wildlife resources fund.

(b) Except as provided in § 69-9-626, the fee required to be paid to county clerks must be retained by the clerk and handled in the same manner as all other fees collected by the clerk for the clerk's benefit.

69-9-629. Confidentiality of vessel records.

(a) As used in this section:

(1) "Disclose" means to engage in a practice or conduct to make available and make known personal information contained in a vessel record about a person to a person or entity, by any means of communication;

(2) "Express consent" means consent in writing, including consent conveyed electronically that bears an electronic signature as defined in 15 U.S.C. § 7006;

(3) "Highly restricted personal information" means an individual's photograph or image, social security number, or medical or disability information;

(4) "Individual record" is a vessel record containing personal information about a designated person who is the subject of the record as identified in a request;

(5) "Person" means an individual or entity, but does not include the state or a department or agency of the state;

(6) "Personal information":

(A) Means information that identifies a person, including an individual's photograph or image; social security number; name; address, excluding the five-digit zip code; telephone number; and medical or disability information; and

(B) Does not include information on boating accidents or boating-related violations under this title, vessel registration, or titling status;

(7) "Record" includes all books, papers, photographs, photostats, cards, films, tapes, recordings, electronic data, printouts, or other documentary materials regardless of physical form or characteristics; and

(8) "Vessel record" means any records that pertain to a vessel owner or operator's vessel registration or certificate of number, vessel title, or other document issued by the agency.

(b) Notwithstanding another law to the contrary, except as provided in this section, the agency, and any officer, employee, agent, or contractor of the agency, shall not disclose personal information about a person obtained by the agency in connection with a vessel record.

(c) Personal information referred to in subsection (b) may be disclosed to a requesting person, if the person demonstrates, in the form and manner the agency prescribes, that the person has obtained the express consent of the person who is the subject of the information.

(d)

(1) The agency, or an officer, employee, or contractor of the agency, shall not knowingly disclose or otherwise make available to a person:

(A) Personal information about a person obtained by the agency in connection with a vessel record, except as provided in this subsection

(d); or

(B) Highly restricted personal information about a person obtained by the agency in connection with a vessel record without the express consent of the person to whom that information applies, except for uses permitted in subdivisions (d)(2)(A), (d)(2)(C), and (d)(2)(D).

(2) Personal information referred to in subdivision (d)(1) must be disclosed for use in connection with vessel theft and, subject to subdivision (d)(1)(B), may be disclosed for use:

(A) By a government agency, including a court or law enforcement agency, in carrying out its functions, or by a private person or entity acting on behalf of a federal, state, or local department or agency in carrying out its functions;

(B) In the normal course of business by a legitimate business or agents, employees, or contractors of the business, but only:

(i) To verify the accuracy of personal information submitted by the individual to the business or its agents, employees, or contractors; and

(ii) If the information so submitted is not correct or is no longer correct, to obtain the correct information, but only for purposes of preventing fraud by, pursuing legal remedies against, or recovering on a debt or security interest against the individual;

(C) In connection with a civil, criminal, administrative, or arbitral proceeding in a federal, state, or local court or department or agency or before a self-regulatory body, including the service of process, investigation in anticipation of litigation, and the execution or enforcement of judgments and orders, or pursuant to an order of a federal, state, or local court;

(D) By an insurer or by a self-insured entity, or its agents, employees, or contractors, in connection with claims investigation activities, antifraud activities, rating, or underwriting;

(E) By a person engaged in the business of towing vessels, or by a law enforcement agency or other local department or agency responsible for removing or recovering abandoned vessels, in connection with providing notice to the owners of towed or impounded vessels;

(F) By a licensed private investigative agency or licensed security service for a purpose permitted under this subdivision (d)(2);

(G) By a person operating a commercial boating facility, dock, or marina upon the waters of this state that stores or houses vessels for a purpose permitted under this subdivision (d)(2) or in connection with providing notice to the owners of vessels stored or housed at that facility, dock, or marina; and

(H) By a requester, if the requester demonstrates it has obtained the express consent of the individual to whom the information pertains;

(3) Vessel records, personal information, or highly restricted personal information must be disclosed to a person by the agency upon proof of the identity of the person requesting the record or information and representation by that person that the use of the personal information is strictly limited to one (1) or more of the permitted uses described in this subsection (d).

(4) Before issuing vessel records, personal information, or highly restricted personal information, the agency may require a person, federal, state, or local governmental department or agency requesting that information, or each of the requesting entity's contractors, officers, or individuals in the employ of that person or governmental department or agency that will have access to the information, to execute a confidentiality agreement stating that the recipient, or

the recipient's contractor, officer, or employee, comply with the confidentiality provisions of this subsection (d) and limit the use of the information to those uses specifically permissible under this subsection (d).

(5) A person, governmental department or agency, or contractor, officer, or employee thereof who receives information under this subsection (d) must not disclose that information to a person other than the person to whom it relates, except as otherwise may be authorized by this subsection (d).

(6) Prior to disclosure of personal information as permitted under subsection (d), the agency may require the requestor meet certain conditions in order to obtain reasonable assurance concerning the identity of the requestor, and, to the extent required, ensure that the use will be only as authorized, or that the express consent has been obtained from the person who is the subject of the information. These conditions may include the making and filing of a written application in a form that contains any information and certification required by the agency.

(7) A person requesting the disclosure of personal information from agency records who misrepresents their identity or makes a false statement to the agency on an application required to be submitted pursuant to this subsection (d) commits a Class C misdemeanor, punishable only by a fine of one thousand dollars (\$1,000).

69-9-630. Inadequate documentation.

(a) Notwithstanding this part to the contrary, a person may apply to the agency for a certificate of title to a vessel lacking proper documentation if the vessel has a fair market value of one thousand five hundred dollars (\$1,500) or less and the person submits a certificate of ownership signed under penalty of perjury on a form prescribed by the agency. The certificate of ownership must be accompanied by any documentation required by the agency.

(b) Upon submission of a complete certificate of ownership form with the required supporting documentation and payment of the appropriate fee, a certificate of title must be issued to the applicant upon acceptance by the agency of the submitted documents and payment of the appropriate fees.

(c) A certificate of title issued pursuant to this section does not relieve the applicant of civil or criminal liability resulting from possession of the vessel as otherwise provided by law.

(d) Issuance of a title under this section is solely dependent on the applicant's ability to provide satisfactory evidence of the applicant's legal right of ownership.

69-9-631.

The agency may collect and compile de-identified data related to the use of personal boat trailers in this state, such as the quantity of trailers and the type of watercraft transported. The agency may develop a form for this purpose or may include a space for this purpose in any existing forms used by the agency.

69-9-632. Rulemaking.

The fish and wildlife commission may adopt rules necessary for the administration of this part. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 2. Tennessee Code Annotated, Title 69, Chapter 9, is amended by adding the following as a new part:

69-9-701. Part definitions.

As used in this part:

(1) "Abandoned vessel":

(A) Means a vessel intended as a means of transportation upon or under the water, regardless of whether it is still capable as a means of transportation, that:

(i) Has remained unattended on the waters of Tennessee, or land adjacent to these waters, for more than thirty (30) days without the express consent of the owner or person in control of the property;

(ii) Is adrift or submerged for more than thirty (30) days in or upon the waters of Tennessee;

(iii) Is a vessel deemed to have no ownership, after notice by publication is given pursuant to rules of the agency;

(iv) Is left unattended on public property without notice to the managing entity of the public property for more than thirty (30) days; or

(v) Has remained on private property without the consent of the owner or person in control of the property or, parked or left in a garage, trailer park, or any type of storage or parking lot without consent of the managing entity for more than thirty (30) days; and

(B) Includes a vessel in an obvious state of disrepair such as being burned throughout or inoperable under its own power; and

(2) "Local government" means a municipality, county, or agency, board, commission, or authority created by law on behalf of a municipality or county.

69-9-702. Local government grants.

(a) The agency may award grants to local governments for the costs of removal or recovery of abandoned vessels from the waters of Tennessee and from private and public property in accordance with rules of the agency governing abandoned vessels and reasonable administrative expenses relative to the removal or recovery. The grants must be funded from the local abandoned vessel prevention fund established in § 69-9-

703. Administrative expenses of a grantee must not exceed five percent (5%) of a grant awarded.

(b) The agency shall develop procedures for local governments to submit a grant application and criteria for allocating available funds. The criteria must include, at a minimum, the following:

(1) The number of abandoned vessels within the jurisdiction of the applicant;

(2) The threat posed by such abandoned vessels to public health or safety, the environment, navigation, or the aesthetic condition of the general vicinity; and

(3) The degree of commitment of the local government to maintain waters free of abandoned vessels.

(c) In awarding grant funds, the agency shall give priority consideration to:

(1) Unmet needs in counties having populations of one hundred thousand (100,000) or less, according to the 2020 federal census or any subsequent federal census; and

(2) Unmet needs in counties having a high level of boating-related activities from individuals residing in other counties or in bordering states.

(d) The amount of grant funds awarded annually to a local government must not exceed twenty-five thousand dollars (\$25,000).

(e) The fish and wildlife commission may adopt rules necessary for the administration of the grant program. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

69-9-703. Local abandoned vessel prevention fund.

(a) There is established a special account in the state treasury to be known as the "local abandoned vessel prevention fund," hereinafter referred to as the "fund," to assist local governments with the costs of removal and recovery of abandoned vessels

from the waters of Tennessee and private and public property and reasonable administrative expenses. The fund must be administered by the agency.

(b) The fund consists of moneys derived from the portion of the fees collected for titling vessels pursuant to § 69-9-625(a)(1)(A). The agency may accept other funds, public or private, by way of gift or grant to the fund. Any such gift or grant must be deposited into the fund to be expended in accordance with this part.

(c) Any unencumbered moneys and any unexpended balance of the fund remaining at the end of a fiscal year must not revert to the state general fund or another agency fund or account, but must be carried forward until expended in accordance with this part.

(d) Moneys in the fund must be invested by the state treasurer pursuant to title 9, chapter 4, part 6, for the benefit of the fund. Interest accruing on investments and deposits of the fund must be credited to the fund, be returned to the fund, and remain part of the fund.

(e) Moneys in the fund must be used by the agency to administer and distribute grants to local governments authorized by § 69-9-702 and for education and community outreach efforts described in § 69-9-705.

69-9-704. Report relative to local abandoned vessel prevention fund.

The agency shall report to the chair of the energy, agriculture and natural resources committee of the senate, and the chair of the committee of the house of representatives having jurisdiction over boating, no later than December 31, 2027, and each December 31 thereafter, regarding the agency's administration of the fund. The report must include the obligated and unobligated balances of the fund as of June 30 of the reporting calendar year and the grants awarded from the fund in the immediately preceding fiscal year. Grant information must include the amount of the grant awarded and the recipient of the grant.

69-9-705. Education and outreach.

The agency may, in coordination with local governments and nonprofit organizations, establish education and community outreach programs that inform and incentivize the removal and recovery of abandoned vessels from the waters of Tennessee and private and public property, including information about abandoned vessel disposal programs and funding options for abandoned vessel removal and recovery efforts.

69-9-706. Abandoned vessel offense.

(a) A person shall not leave an abandoned vessel in or upon the waters of Tennessee or on public or private property.

(b) A violation of subsection (a) is a Class A misdemeanor.

(c)

(1) It is not a violation of subsection (a) if the person leaves an abandoned vessel in or upon the waters of Tennessee or on public or private property solely as a result of:

(A) A boating accident that is reported to the appropriate law enforcement agency;

(B) An extreme weather event, such as a flood; or

(C) Another sudden event outside of the person's control.

(2) To qualify for the exception under subdivision (c)(1), the person shall provide documentation to a law enforcement officer evidencing the specific event in subdivision (c)(1) that led to the vessel becoming abandoned in or upon the waters of Tennessee or on private or public property.

SECTION 3. Tennessee Code Annotated, Section 10-7-504, is amended by adding the following as a new subdivision:

(35) Personal information contained in vessel records must be treated as confidential and is only open for inspection in accordance with § 69-9-629.

SECTION 4. Tennessee Code Annotated, Section 69-9-207, is amended by adding the following at the end of subsection (c):

A vessel of five (5) or more net tons owned by a U.S. citizen, used exclusively for pleasure, and principally used upon the waters of Tennessee that is issued a valid marine document by the U.S. coast guard must be numbered under this chapter, except that the identification number is not required to be displayed on the vessel and must be available for inspection when the vessel is in operation.

SECTION 5. The director of the wildlife resources agency may employ such personnel as necessary and appropriate for the agency to accomplish the purposes of Sections 1 and 3. It is the legislative intent that, on July 1, 2026, funding for three (3) employment positions be allocated and appropriated to the agency for carrying out its responsibilities under Sections 1 and 3. The director has the discretion to determine how and whether to utilize any associated positions.

SECTION 6. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 7.

(a) For the purpose of promulgating rules and forms to effectuate Section 1 of this act, this act takes effect upon becoming a law, the public welfare requiring it.

(b) Sections 1 through 3 of this act take effect July 1, 2027, the public welfare requiring it.

(c) Section 69-9-706, created by Section 2 of this act, and Sections 4 and 5 of this act, take effect July 1, 2026, the public welfare requiring it.

(d) For all other purposes, this act takes effect upon becoming a law, the public welfare requiring it.